Fixed Asset Utilization

The fixed asset utilization ratio measures how well a company is utilizing its fixed assets. Investors can compare this with the utilization of other companies in the same industry to determine how effectively a company is utilizing its fixed assets. It should be remembered that this ratio needs to calculated on net fixed assets, i.e. cost less accumulated depreciation. It is arrived at by dividing sales by the average net fixed assets.

$$\text{Net fixed asset utilization} = \frac{\text{Sales}}{\text{Net fixed assets}}$$

Illustration

The relevant financials of Nikhila Pistons Ltd. were as follows:

	Year-1 *Rs. (crore)*	Year-2 *Rs. (crore)*	Year-3 *Rs. (crore)*
Sales	540	580	620
Fixed Assets			
Gross	105	130	150
Accumulated Depreciation	60	65	70
	45	65	70

The net fixed asset utilization was:

$$\text{Year - 2} \qquad \frac{580}{(45 + 65) \div 2} = 10.55$$

$$\text{Year - 3} \qquad \frac{620}{(65 + 80) \div 2} = 8.55$$

Although sales increased by only 6%, fixed assets went up by 31%. This suggests that the company might be expanding and the fruits or the result of this expansion was yet to be reflected in the net fixed asset utilization.

An increasing net fixed asset utilization ratio suggests that sales may have fallen and the efficiency in the handling of net fixed assets deteriorated.

It must be borne in mind that this ratio is not truly reflective of performance as fixed asset costs will differ when comparing companies. A